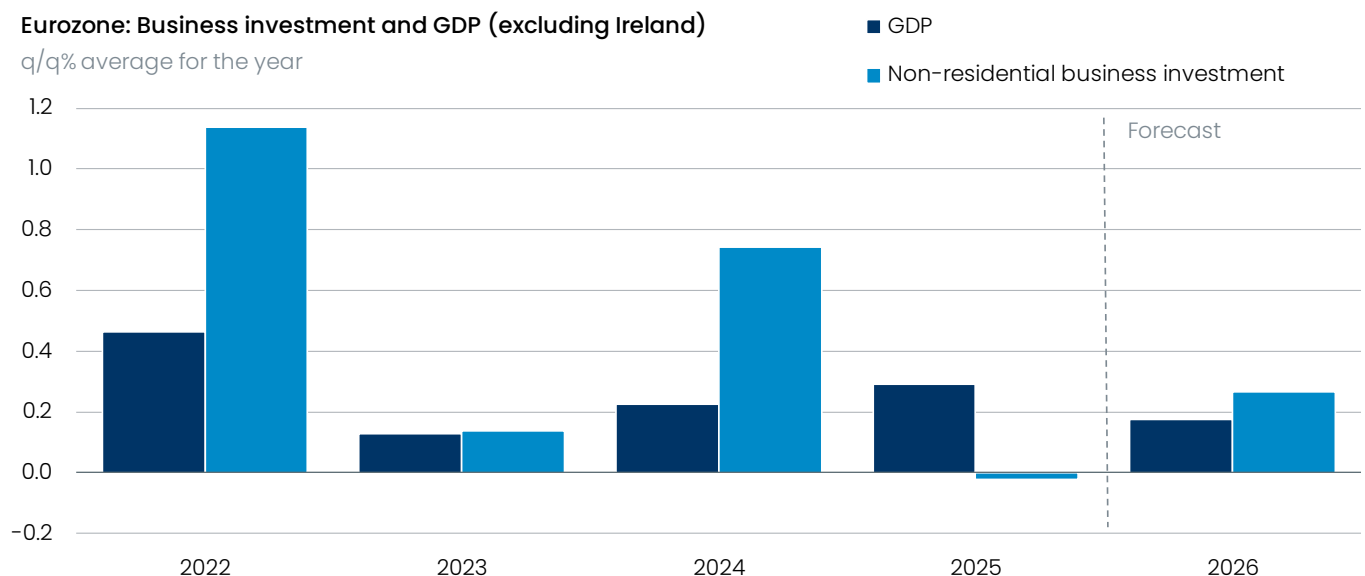


Why business investment is more resilient to the war shock

- We expect Eurozone private business investment to be more resilient to the effects of the Middle East conflict than the adverse macro backdrop would normally imply. A handful of less-cyclical sectors, including defence, AI-related equipment and software and policy-driven investment, should help cushion the fallout, and others are more insulated from demand conditions, such as aircraft and pharmaceuticals.
- The shock from the war is a major headwind to investment through weaker demand and profitability, elevated uncertainty, and higher borrowing costs. Although the net impact is negative, investment may still rise in some manufacturing sectors, with petrochemicals benefiting from global supply constraints and EV-related investment supported by faster shifts in consumer behaviour.
- Overall, business investment in the Eurozone has become less cyclical in recent years. Demand factors have become a less important reason for investment than before, while the rising share of intangible investment is reinforcing this trend. Increased policy support from the NextGen EU program and subsidies for the green transition is also helping to cushion the cycle.
- Risks around our baseline forecast of 0.6% growth in business investment in 2026 are broadly balanced. The range of supports to business investment despite the difficult economic environment means upside risks are greater than for GDP growth as a whole. That said, a prolonged Middle East conflict and a further surge in energy prices are major downside risks that could wipe out these sources of resilience.

Chart 1: Eurozone business investment to stay subdued but still outperform GDP



Sources: Oxford Economics, Haver Analytics

The supply shock adds to the headwinds facing Eurozone business investment

The shock from the US-Israel war with Iran is set to add another headwind to an already subdued outlook for Eurozone non-residential business investment. The conflict is a clear adverse macroeconomic shock, with straightforward transmission channels. The most impactful is simply lower demand: our May baseline has the Eurozone economy growing by just 0.7% in 2026, a similar pace as the energy crisis of 2023, and a 0.5ppt downward revision compared to our pre-conflict forecast. This will have a direct impact on businesses' investment decisions.

Profitability is also set to deteriorate further [from an already weak starting point](#) as energy prices rise, making firms more selective about new capital expenditure. What's more, a much weaker demand backdrop than in 2022 will make it harder to pass on the rise in energy and other input costs.

Alongside weaker demand, firms will have to contend with higher uncertainty as the Middle East conflict compounds pre-existing risks, such as higher US tariffs. So far, though, news-based measures of policy uncertainty are well below the peaks associated with 'liberation day' in April 2025.

Meanwhile, renewed inflationary pressures, wider fiscal deficits, and quantitative tightening by central banks are pushing borrowing costs higher, with long rates in Germany reaching historical highs. The ECB is also set to [tighten monetary policy](#) in the short term, though the increase in borrowing costs should be limited, and any transmission to investment is likely to be gradual – see our [recent analysis](#) of the impact of these factors at a global level.

In the Eurozone specifically, this shock comes at a time when demand is already subdued, with firms facing little pressure to expand capacity overall as the capacity utilization rate in the manufacturing sector has been broadly stagnant since 2024 at its weakest level since the Eurozone crisis.

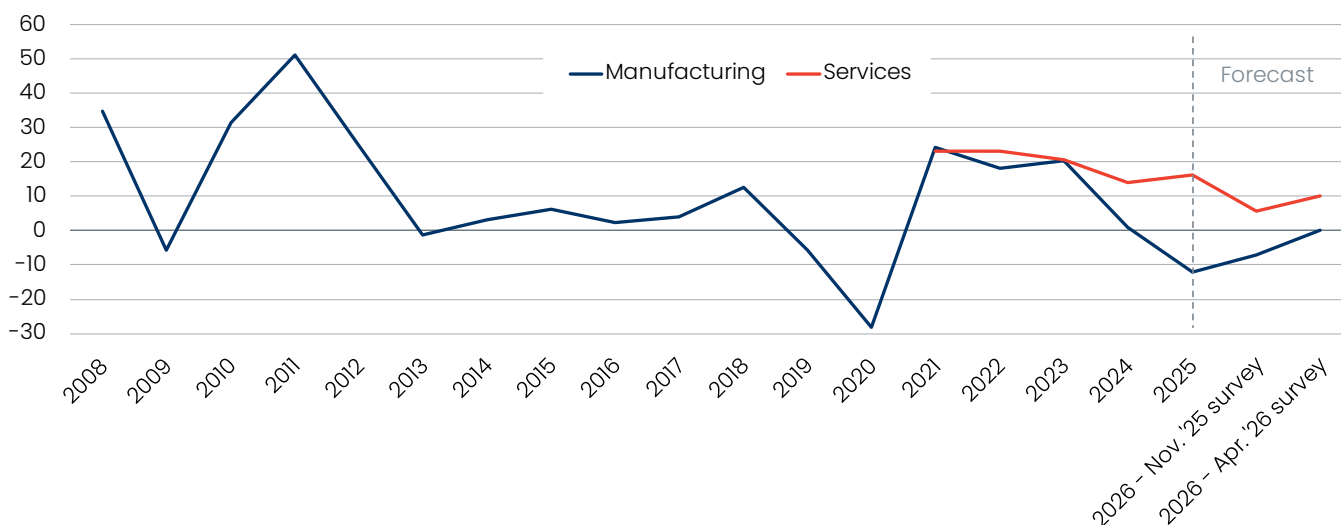
Investment now more resilient and less cyclical

Despite these headwinds, we think that business investment will stay resilient this year. Although we have cut our forecast since the start of the conflict, we still expect investment to slightly outperform GDP in 2026, unlike in 2025, with risks slightly tilted to the upside ([Chart 1](#)). The latest surveys support this cautious view: investment intentions remain at a rather low level, but have improved slightly since the start of the Iran conflict compared to the last survey six months before ([Chart 2](#)). A separate investment survey conducted around the same time in France shows the same improvement.

Similarly, capacity utilisation in industry should continue its slightly upward trend given the sector's relative resilience. We're cautious about reading too much into a handful of data points, however these surveys support our view that a sharp contraction in investment is unlikely following the outbreak of the conflict. In addition, prior to the war, Germany industry saw an uptrend in capital goods orders from other Eurozone countries, suggesting some momentum. We also think the shock from the war is not big enough to lead to widespread order cancellations.

Chart 2: Business investment plans haven't shown much impact from the crisis so far**Eurozone: Business investment plans**

Net balance, historical years use the latest available survey for that year as a reference (April of year N+1)

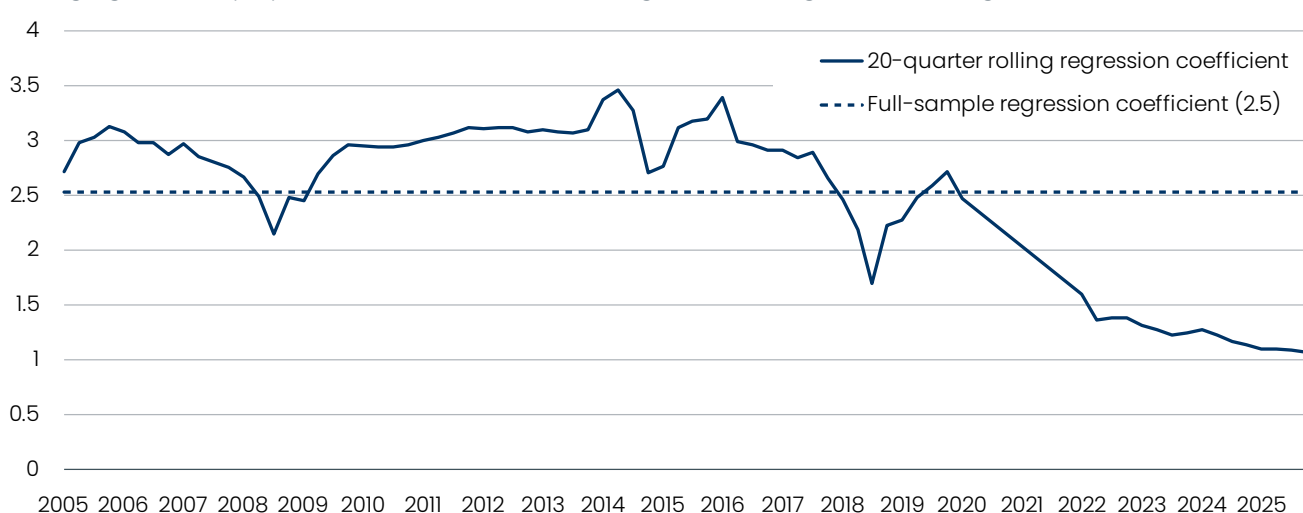


Sources: Oxford Economics, Haver Analytics

The apparent resilience of investment intentions may partly reflect the fact that firms are still banking on a temporary conflict and a contained economic shock, and are therefore reluctant to radically adjust existing capital expenditure plans. More fundamentally, we think business investment has become less reactive to the economic cycle since the pandemic. A look at the sensitivity of business investment growth to GDP growth supports this view. The link between business investment and GDP growth has weakened sharply and now looks exceptionally weak by historical standards, pointing to a much softer accelerator effect than usual ([Chart 3](#)).

Chart 3: Business investment has become less responsive to GDP growth**Eurozone: Sensitivity of business investment to GDP growth**

Rolling regression slope: private non residential investment growth on GDP growth (excluding 2020 Q2 to 2021 Q4).



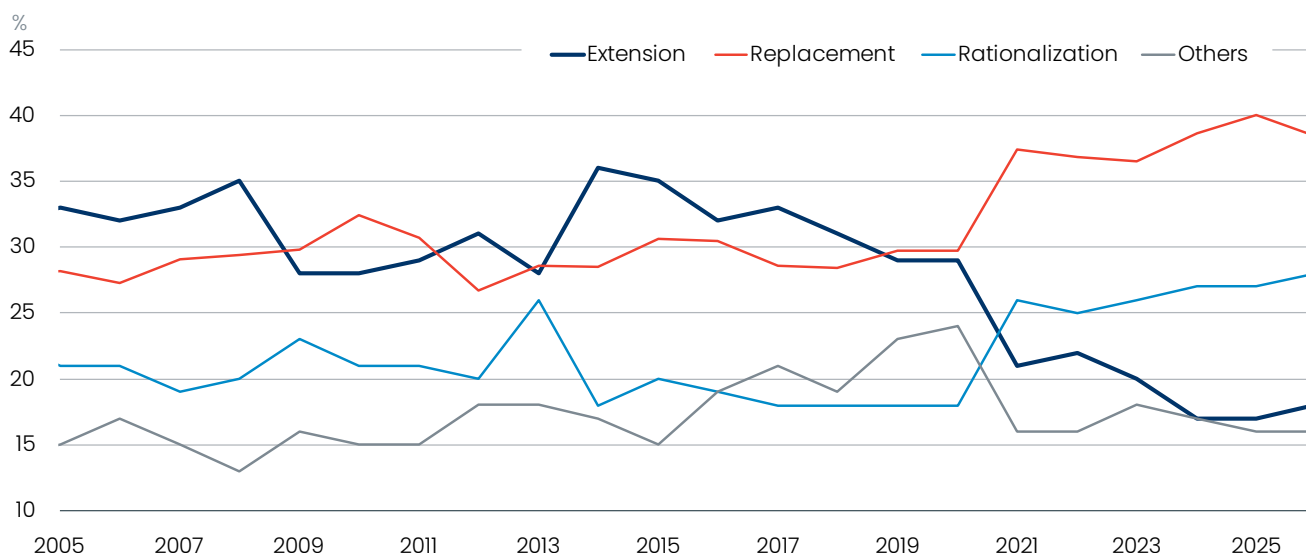
Sources: Oxford Economics, Haver Analytics

The changing composition of investment motives also suggests that business investment has become less demand-sensitive. In manufacturing, capacity expansion is cited as a reason for investment by only 17% of firms

in 2025, a record low level, with a fall of roughly 15ppts since the pandemic ([Chart 4](#)). This mirrors the weaker responsiveness of investment to changes in activity over the same period. Other motives for investment, including replacement and new product development, now dwarf purely demand-driven factors.

Chart 4: Changes in demand now explain a smaller share of investment than before

Eurozone: Drivers of business investment in manufacturing



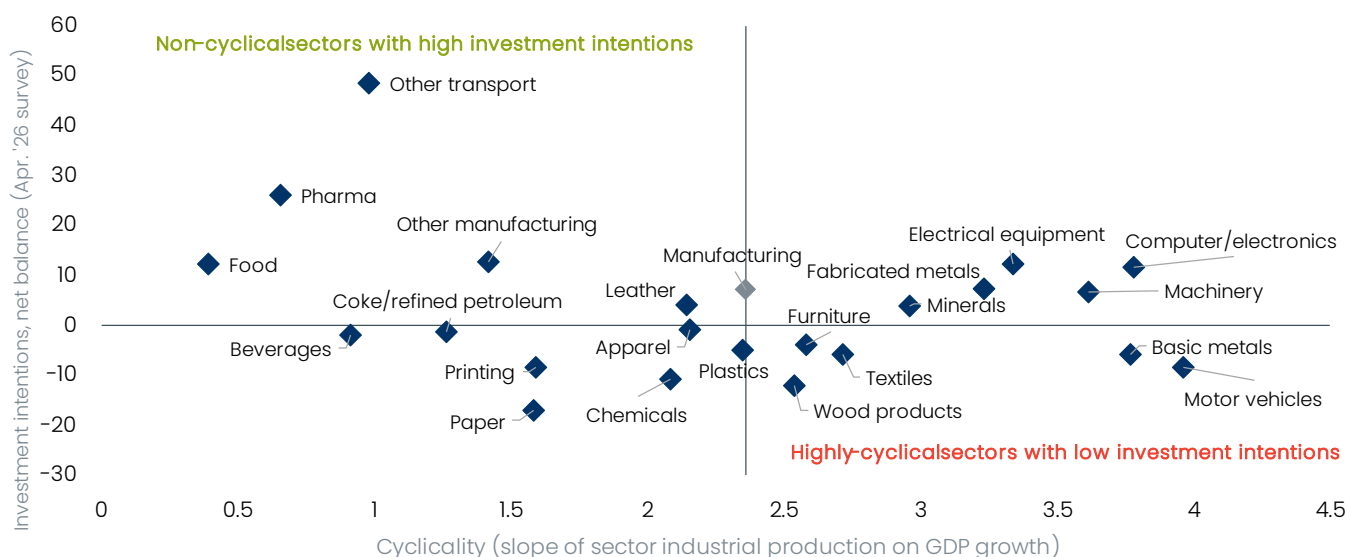
Sources: Oxford Economics, Haver Analytics

Sectors insulated from weak demand will provide pockets of investment strength

Further evidence comes from investment plans in 2026, which do not appear to be led by the traditional cyclical manufacturing sectors. Instead, industries that are relatively disconnected from the state of the economy, such as other transport equipment (mostly aircraft), pharmaceuticals, and food, show the strongest investment intentions by far and explain most of the increase in investment expected in 2026 ([Chart 5](#)). By contrast, the most cyclical sectors show little appetite for expanding capital expenditure.

Chart 5: High-investment sectors are less reliant on demand fluctuations

Eurozone: Investment plans and cyclical sensitivity by sector



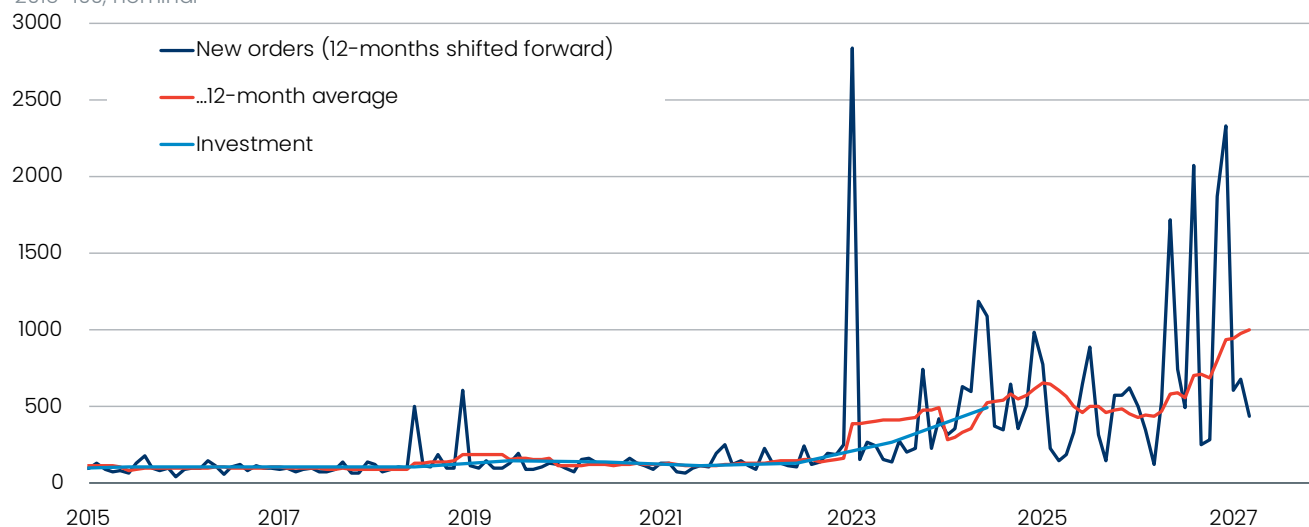
Sources: Oxford Economics, Haver Analytics

Interestingly, although a few highly cyclical sectors are still planning to bump up investment, these are mostly sectors liable to benefit either from the AI boom tailwind (see below) or from the increase in defence expenditure – two factors likely to underpin the slightly more favourable outlook for investment. Among these subsectors, computer and electronics, electrical equipment, and machinery are benefitting both from the AI boom and from higher defence expenditure. Fabricated metals is more defence-specific, because the sector includes weapons and ammunition producers. Indeed, higher military expenditure is another important source of investment demand that is largely insulated from the cycle, benefitting the weapons and ammunition sector ([Chart 6](#)), as well as a range of other downstream manufacturing sectors. This should provide a material near-term boost to investment, as we will explain in more detail in an upcoming report.

Chart 6: Higher defence spending will drive an acceleration in investment

Germany: Weapons and ammunition sector

2015=100, nominal



Sources: Oxford Economics, Haver Analytics

Other policy-driven channels should continue to cushion investment, although support is starting to fade in some countries. The effects of NextGen EU fiscal package and government support to decarbonise production – the two most salient examples – are visible in the sharp increase in investment grants received by businesses over the past few years ([Chart 7](#)).

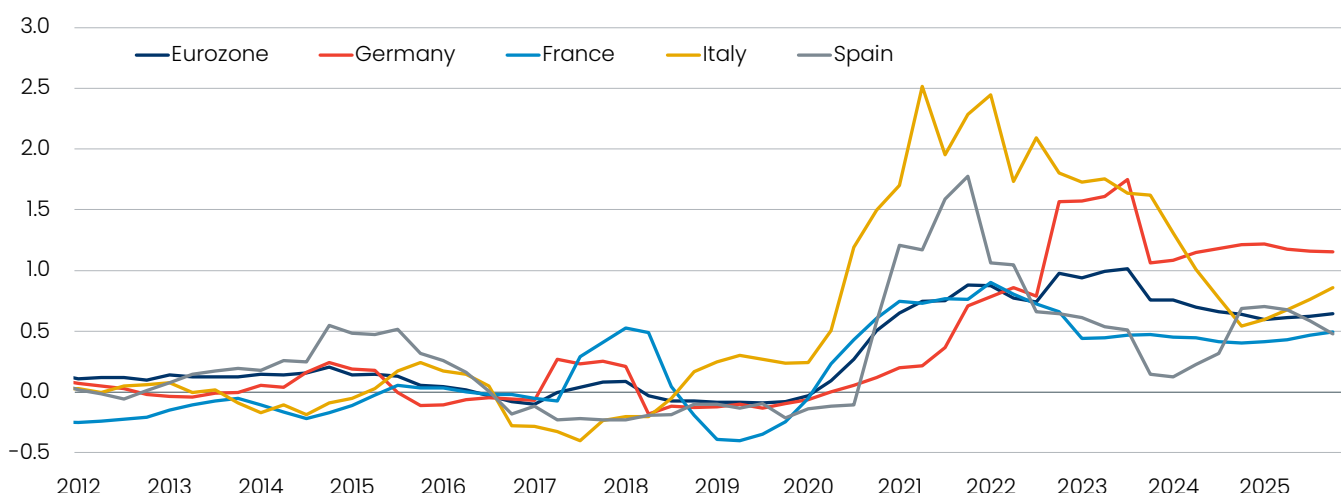
The effect has been most visible in Italy, with the business investment rate at a record high, driven nearly solely by NGEU-related non-residential construction. The investment impact of NGEU is less clear among other major beneficiaries, pointing to significant cross-country differences in how funds have been deployed. Though the tapering of NGEU funds is likely to drive a continued slowdown in investment in Italy, investment grants remain at a high level in Germany and should continue to provide support.

Also on the policy side, the start of the EU's Carbon Border Adjustment Mechanism may provide further incentives for firms to invest in domestic low-carbon technologies, but any impact is likely to be diffuse and difficult to pinpoint.

Chart 7: Investment grants are starting to taper off in NGEU countries

Eurozone: Capital transfers received by non-financial corporations

ppts of GVA, deviation from 2015-19 average, 4-quarter moving average



Sources: Oxford Economics, Haver Analytics

AI investment will provide another moderate acyclical tailwind

The AI boom is also supporting business investment through three main channels: data centres and related equipment, including GPUs; upstream semiconductor supply chains; and AI-related intangible investment, including software, databases, and R&D.

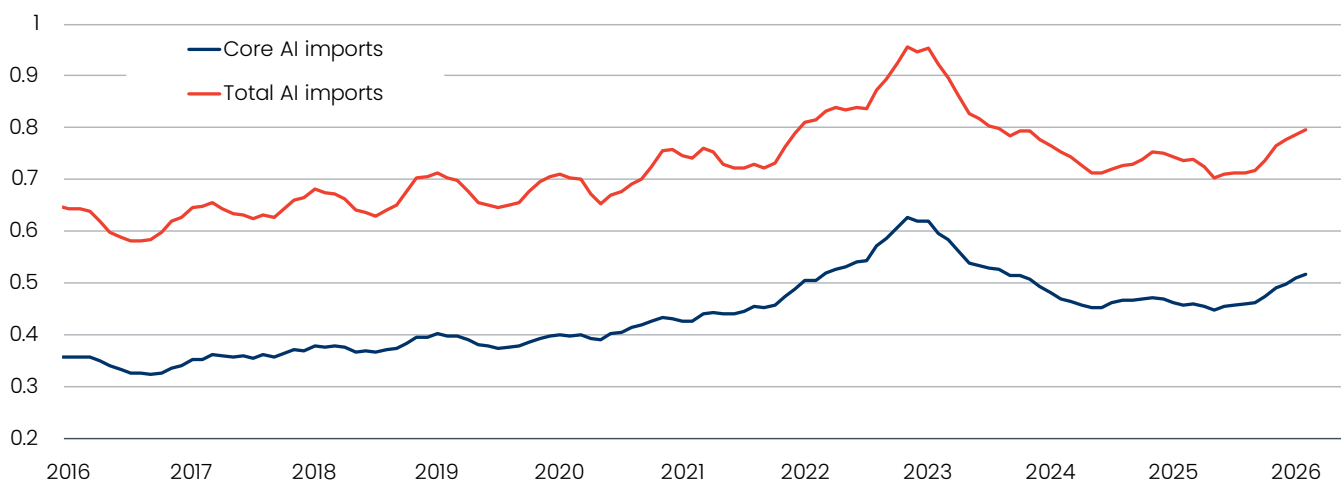
First, on the material side, data centre construction is ramping up. But, as we explained in detail [in previous research](#), it faces hurdles and is unlikely to move the needle for investment generally given that it is starting from a very low base and any acceleration in investment seems likely to remain mild, as suggested by the limited increase in AI-related imports over recent months ([Chart 8](#)).

Manufacturing investment in the semiconductor supply chains is faring better, as shown in [Chart 5](#). But this sector is relatively niche, and even large planned capacity expansion projects are [unlikely to raise total business investment growth](#) by more than a few tenths of a percentage point over the next few years.

Chart 8: Modest acceleration in AI-related imports suggests an investment boom isn't imminent

EU: AI-related imports

% of GDP, 6-month moving average. AI-related imports defined based on content analysis of HS4 digit trade data



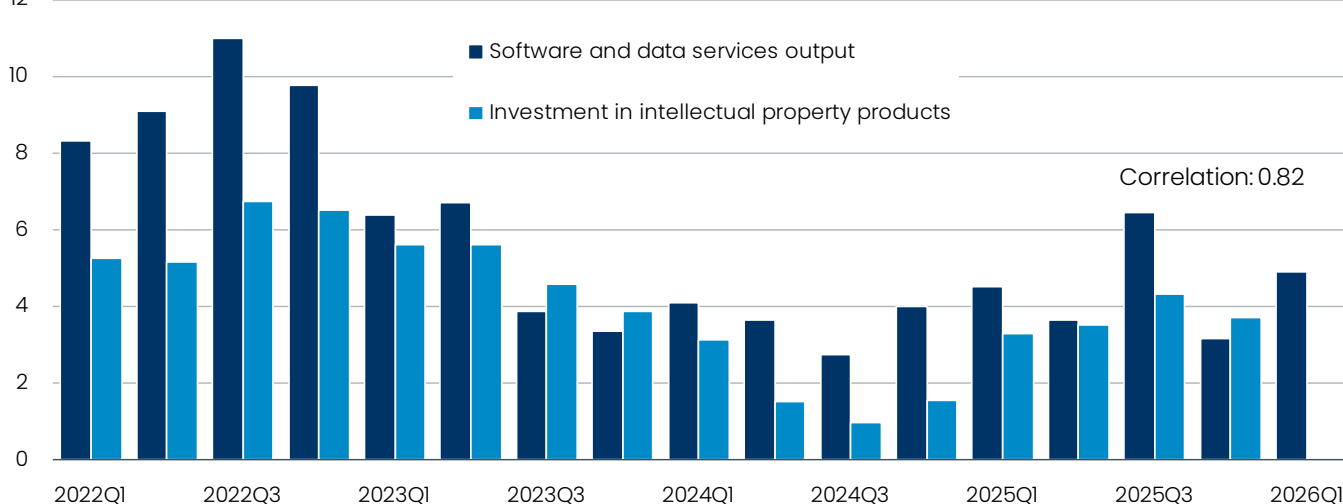
Sources: Oxford Economics, Haver Analytics

Meanwhile, intangibles investment has been accelerating in 2025, accounting for around half of total investment growth. The AI-related share of intangible investment is difficult to identify, partly because the category itself is hard to interpret and accounting rules differ across countries. Still, [a look at the data](#) shows that immaterial investment is closely associated with services output in IT-related sectors ([Chart 9](#)). This in turn suggests that some of the recent strength may reflect firms investing in software and data capabilities linked to AI adoption.

Chart 9: Intangibles investment has accelerated, along with digital services output

Eurozone: Immaterial investment and digital services output

% y/y, both series are in real terms and exclude Ireland Q1 output figure based on data for January and February



Sources: Oxford Economics, Haver Analytics

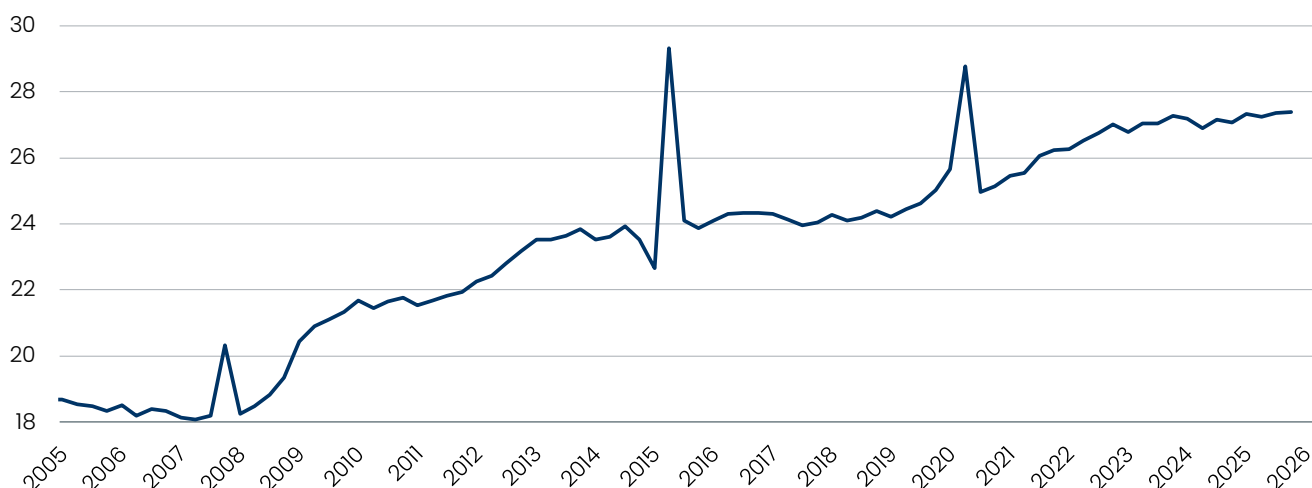
The accelerating deployment of AI technologies means that immaterial investment growth is likely to continue expanding at a solid pace in 2026, supporting total investment growth. This is particularly true since software-related investment is less debt-intensive than machinery investment, offering some protection against higher

rates or stronger risk aversion from banks. Unlike tangible investment in AI-related hardware, the starting base for investment in software and R&D is also meaningfully higher. This suggests an AI-related acceleration could translate into a more visible lift to headline business investment and GDP, though we need to be cautious about drawing strong conclusions given the fragility of the immaterial investment category itself.

Chart 10: The share of immaterial investment is at an all-time high

Eurozone: Share of immaterial investment in non -residential investment

% of total non-residential investment, excludes Ireland



Sources: Oxford Economics, Haver Analytics

More broadly, the record-high weight of intangible investment may also help explain why business investment has become less sensitive to the economic cycle, though it is unlikely to be the full story as the increase in the share of immaterial capital expenditure has been mostly gradual ([Chart 10](#)).

The war shock could also offer a modest boost to investment in some sectors

Overall, the Iran shock is likely to be a net negative for business investment, but a few investment-intensive sectors may still benefit. Petrochemicals are the clearest example. In the short run, the sector could be supported by global supply constraints and substitution effects as European producers replace disrupted Middle Eastern supply.

Over a longer horizon, the shock may also reinforce reshoring or supply-chain diversification ambitions, as the closure of the Strait of Hormuz has highlighted the vulnerability of relying on a narrow set of energy and petrochemical trade routes. The sharp rise in petrochemicals capacity utilisation in April is consistent with this view, with the sector now among the small group of manufacturing industries operating above pre-pandemic utilisation rates. More speculatively, other energy-intensive industries could regain some market share from Asian competitors, given Asia's more direct exposure to the energy shock.

Recent vehicle sales data also point to a possible, though still tentative, upside for EV-related investment. Higher fuel prices could accelerate the shift away from internal-combustion vehicles, supporting demand for electric vehicles and the associated investment in related production and infrastructure. This would not offset the broader negative impact of the shock on investment, but it could add to the list of supports that help cushion the downturn in specific sectors.

Overall, the breadth of support for business investment suggests that risks around our baseline forecast are slightly tilted to the upside, despite the difficult macro backdrop, though it is hard to quantify with precision given the lack of detailed timely data on private investment. That said, a prolonged Middle East conflict and a further surge in oil prices are the key downside risks, as they would likely erase much of this resilience through their outsized impact on GDP growth.